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Haier Smart Home Co Ltd | Asia Pacific

Operational Update: Improvement in 2Q26; China's Trend in 3Q26 Key to Watch

Key Takeaways

- Recovery in 2Q26: expect largely flat sales yoy in China and low-single-digit sales growth overseas with narrowed decline on bottom line vs. 1Q26.
- In China, AC showed positive growth; fridges and washing machines narrowed their declines in 2Q26.
- US sales decline narrowed in 2Q26; exposure to Chinese production is planned to be reduced to a single-digit share of US sales by 2027 from ~10% currently.
- Solid growth momentum continues in EU, R&D speeding up for launching more localized products in the EU to capture growth opportunities.
- Management maintains the target of mid-single-digit growth for both sales and net profit in 2026. Payout ratio to be 58% in 2026 and 60% in 2027-28.

China:

- Residential AC: double-digit growth and commercial AC mid-single-digit growth in 2Q26, led by new SKU launches with attractive prices and channel restocking for summer peak season and before price increases.
- Fridges and washing machines: decline narrowed to mid-single digits in 2Q26, with new SKU launches and benefit from subsidy rollout.
- Competition remains intense but the focus is shifting from pricing towards cost management, according to the company.

EU:

- High-single-digit sales growth in 2Q26, with double-digit growth from HVAC YTD (20% of EU white goods sales).
- OPM target of 2% for 2026 vs. break-even level in 2025.

US:

- Top-line decline in 2Q26 narrowed to mid-single digits.
- ~US\$10-20mn tariff reduction per quarter after production shift to outside of China with new factory in Thailand and US local production.
- Committed US\$3bn investment in the next five years in the US for renovation of local facilities and R&D capabilities.
- Targets flat OPM yoy in 2026 and 20-30bps improvement p.a. afterwards.

Emerging Markets: Overall top-line growth remained solid: double digits in 2Q26.

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Haier Smart Home Co Ltd (600690.SS, 600690 CG)

China/Hong Kong Consumer | China

Stock Rating	Equal-weight
Industry View	In-Line
Price target	Rmb23.00
Up/downside to price target (%)	13
Shr price, close (Jul 14, 2026)	Rmb20.33
52-Week Range	Rmb28.31-19.25
Sh out, dil, curr (mn)	6,627
Mkt cap, curr (mn)	Rmb184,372
EV, curr (mn)	Rmb154,430
Avg daily trading value (mn)	Rmb1,118

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	2.09	2.09	2.29	2.49
EPS (Rmb)\$	2.26	2.13	2.34	2.54
Revenue, net (Rmb mn)	302,347	308,113	321,195	338,372
EBITDA (Rmb mn)	28,257	29,438	32,086	34,772
ModelWare net inc (Rmb mn)	19,553	19,571	21,493	23,313
P/E	12.5	9.7	8.9	8.2
P/BV	2.1	1.5	1.4	1.3
RNOA (%)	26.1	21.3	22.3	24.0
ROE (%)	17.6	16.5	16.9	16.9
EV/EBITDA	7.2	5.1	4.3	3.7
Div yld (%)	4.4	6.0	6.8	7.3
FCF yld ratio (%)**	6.8	10.7	12.2	13.5
Leverage (EOP) (%)	(39.8)	(45.5)	(49.7)	(54.0)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\$ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

Large Appliances 2Q26 Result Preview:

Resilience Despite Challenges (5 Jul 2026)

China Home Appliances: Shopping for Better Growth Potential (8 Jul 2026)

China's Emerging Frontiers: Rewiring the Home:

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A Roadmap of Appliances in AI Diffusion (8 Jul 2026)

Valuation Methodology and Risks

Haier Smart Home Co Ltd (600690.SS)

Our Haier-A price target is based on a target 2026e P/E of 11x, implying 2.3x PEG on the 2025-27e EPS CAGR. Our target multiple is slightly lower than average P/E of 13x at which the stock has traded since 2017.

Risks to Upside

- Better-than-expected rebound in Chinese property market.
- Further market consolidation from premiumization.

Risks to Downside

- Further slowdown in Chinese property market.
- Price competition for air conditioners from market leaders.
- Higher-than-expected costs from poor execution of expansion plan.
- Execution risks from M&A deals.

Haier Smart Home Co Ltd (6690.HK)

Base case, target 2026e A-share P/E of 11.0x and a 10% H-A discount (in line with average since Haier-H's listing), implying 9.8x P/E.

Risks to Upside

- Better-than-expected rebound in Chinese property market.
- Further market consolidation from premiumization.

Risks to Downside

- Further slowdown in Chinese property market.
- Price competition in air conditioners from market leaders.
- Higher-than-expected costs due to poor execution of expansion plan.
- Execution risks from M&A deals.

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(as of June 30, 2026)

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Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Haier Smart Home Co Ltd (600690.SS) - As of 07/14/26 GMT in CNY
Industry : China/Hong Kong Consumer



Stock Rating History: 7/1/21 : O/I; 1/17/22 : E/I

Price Target History: 2/17/21 : 40; 7/30/21 : 32; 5/20/22 : 29; 5/11/23 : 25; 3/11/24 : 27; 10/30/24 : 30.4; 1/27/25 : 30.8; 5/6/25 : 29.3; 3/30/26 : 25.2; 7/9/26 : 23

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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Haier Smart Home Co Ltd (6690.HK) - As of 07/14/26 GMT in HKD
Industry : China/Hong Kong Consumer



Stock Rating History: 7/1/21 : O/I; 1/17/22 : E/I

Price Target History: 2/17/21 : 43; 7/30/21 : 35; 5/20/22 : 30; 5/11/23 : 26; 8/28/23 : 24; 3/11/24 : 26; 10/30/24 : 29.7; 1/27/25 : 29.6; 5/6/25 : 28.2; 3/30/26 : 25; 7/9/26 : 23

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: China/Hong Kong Consumer

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/14/2026)
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Dustin Wei

ANTA Sports Products (2020.HK)	++	HK\$73.90
Bosideng International Holdings Limited (3998.HK)	O (11/27/2024)	HK\$4.76
C&S Paper Co Ltd (002511.SZ)	U (09/22/2021)	Rmb7.13
Chacha Food Co Ltd (002557.SZ)	U (02/20/2025)	Rmb19.30
Giant Biogene Holding Co Ltd (2367.HK)	O (08/08/2024)	HK\$26.90
Health and Happiness (H&H) (1112.HK)	E (07/12/2021)	HK\$14.02
Hengan International Group (1044.HK)	E (05/06/2021)	HK\$23.16
Li Ning (2331.HK)	O (10/09/2019)	HK\$14.90
Mao Geping Cosmetics Co., Ltd (1318.HK)	O (03/10/2026)	HK\$51.70
Pop Mart International Group (9992.HK)	O (05/17/2021)	HK\$155.00
Proya Cosmetics Co. Ltd. (603605.SS)	O (10/12/2021)	Rmb57.38
Samsonite Group (1910.HK)	O (06/15/2020)	HK\$13.48
Shanghai Jahwa United Co. Ltd. (600315.SS)	U (07/07/2023)	Rmb17.72
Sun Art Retail Group Limited (6808.HK)	E (03/05/2019)	HK\$1.07
Topsports International Holdings Ltd (6110.HK)	O (11/13/2019)	HK\$1.81
Weilong Delicious Global Holdings Ltd (9985.HK)	O (06/11/2025)	HK\$7.18
Yonghui Superstores (601933.SS)	U (05/18/2023)	Rmb3.10

Hildy Ling

Angel Yeast Co. Ltd. (600298.SS)	E (05/21/2026)	Rmb37.46
Beijing Roborock Technology Co Ltd (688169.SS)	O (09/25/2024)	Rmb99.70
China Tourism Group Duty Free (1880.HK)	E (12/13/2023)	HK\$47.94
China Tourism Group Duty Free (601888.SS)	E (12/13/2023)	Rmb50.92
Chow Tai Fook Jewellery Group Ltd (1929.HK)	O (03/04/2025)	HK\$11.79
Chow Tai Seng Jewellery Co Ltd (002867.SZ)	U (03/04/2025)	Rmb12.13
Ecovacs Robotics Co Ltd (603486.SS)	O (07/09/2026)	Rmb50.54
Foshan Haitian Flavouring and Food (603288.SS)	E (07/28/2025)	Rmb34.56
Foshan Haitian Flavouring and Food (3288.HK)	E (05/21/2026)	HK\$30.48
Haidilao International Holding Ltd (6862.HK)	O (05/26/2021)	HK\$11.15
Hangzhou Robam Appliances Co Ltd (002508.SZ)	U (02/21/2024)	Rmb15.15
Laopu Gold (6181.HK)	O (10/20/2025)	HK\$373.80
Super Hi (HDL.O)	E (01/14/2025)	US\$12.33
Zhejiang Supor Co. Ltd. (002032.SZ)	E (01/17/2022)	Rmb42.95

Lillian Lou

Anhui Gujing Distillery Company Limited (000596.SZ)	U (02/13/2026)	Rmb80.48
Budweiser Brewing Company APAC Ltd (1876.HK)	O (11/04/2019)	HK\$6.35
Chagee Holdings Ltd (CHA.O)	O (06/02/2025)	US\$11.68
China Mengniu Dairy (2319.HK)	O (09/14/2017)	HK\$17.25
China Resources Beer Holdings Co Ltd (0291.HK)	O (12/11/2018)	HK\$22.94
Chongqing Brewery Co. Ltd. (600132.SS)	U (07/30/2021)	Rmb42.15
Eastroc Beverages (605499.SS)	O (03/12/2026)	Rmb119.18
Eastroc Beverages (9980.HK)	O (03/12/2026)	HK\$106.00
Gree Electric Appliances Inc of Zhuhai (000651.SZ)	E (07/09/2026)	Rmb39.18
Haier Smart Home Co Ltd (600690.SS)	E (01/17/2022)	Rmb20.33
Haier Smart Home Co Ltd (6690.HK)	E (01/17/2022)	HK\$20.36
Kweichow Moutai Company Ltd. (600519.SS)	O (10/17/2014)	Rmb1,214.88
Luzhou Lao Jiao Co. Ltd (000568.SZ)	E (01/23/2019)	Rmb77.65
Midea Group Co Ltd. (0300.HK)	O (11/01/2024)	HK\$89.55
Midea Group Co Ltd. (000333.SZ)	O (01/17/2022)	Rmb81.18
Muyuan Foodstuff Co. Ltd (2714.HK)	O (03/17/2026)	HK\$31.88
Muyuan Foodstuff Co. Ltd (002714.SZ)	O (03/17/2026)	Rmb38.08
Nongfu Spring Co Ltd (9633.HK)	E (07/30/2021)	HK\$41.44
Shanxi Xinghuacun Fen Wine Factory Co. (600809.SS)	O (10/28/2020)	Rmb110.50
Shuanghui Development (000895.SZ)	U (03/16/2021)	Rmb23.48
Tingyi (Cayman Islands) (0322.HK)	E (07/25/2025)	HK\$11.26

Tsingtao Brewery Co Ltd (0168.HK)	E (11/01/2024)	HK\$43.70
Tsingtao Brewery Co Ltd (600600.SS)	E (02/28/2024)	Rmb53.83
Uni-President China (0220.HK)	E (07/25/2025)	HK\$7.50
Want Want China Holdings Ltd (0151.HK)	E (11/29/2023)	HK\$3.33
WH Group (0288.HK)	O (02/24/2025)	HK\$8.11
Wuliangye Yibin Company Ltd. (000858.SZ)	E (08/15/2024)	Rmb73.40
Yanghe Brewery (002304.SZ)	U (01/05/2021)	Rmb38.08
Yanjing Brewery (000729.SZ)	U (09/02/2015)	Rmb11.36
Yili Industrial (600887.SS)	O (01/29/2014)	Rmb25.28
Yum China Holdings Inc. (YUMC.N)	O (03/20/2018)	US\$43.90
ZJLD Group (6979.HK)	E (02/13/2026)	HK\$7.59
Terence Cheng		
Chervon Holdings Ltd. (2285.HK)	E (04/12/2024)	HK\$18.87
Crystal International Group Ltd. (2232.HK)	E (06/23/2025)	HK\$5.99
Gongniu Group Co Ltd (603195.SS)	O (05/08/2023)	Rmb36.89
Hangzhou Greatstar Industrial Co Ltd (002444.SZ)	E (10/26/2022)	Rmb28.50
Huali Industrial Group Co (300979.SZ)	U (02/10/2026)	Rmb30.38
Shenzhou International Group Holdings (2313.HK)	O (07/13/2017)	HK\$42.86
Stella International Holdings Ltd (1836.HK)	E (06/23/2025)	HK\$12.66
Techtronic Industries Co Ltd (0669.HK)	O (12/05/2019)	HK\$125.50
Yue Yuen Industrial Hldg (0551.HK)	E (09/14/2021)	HK\$12.91

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* Historical prices are not split adjusted.